



PURCHASE CONTRACT MUST-HAVES

The most important elements to include in every purchase contract

1 BUYER LINE

Buyer: (Your Name / Entity) **and/or assignee**

This language preserves your right to assign the contract to an end buyer. Without "and/or assignee" you may not be able to wholesale the deal.

2 INSPECTION PERIOD

Ensure you get ample time and make sure you specifically list how many days. This is your built-in exit strategy — it gives you time to find your end buyer and conduct due diligence.

★ **PRO TIP:** Use "business days" instead of calendar days — this gives you a few extra days each week of your inspection period.

3 ADDITIONAL TERMS

A. Default Clause:

"In the event of a Buyer default, sole remedy shall be the earnest money deposit."

This protects you from being sued for specific performance. The most the seller can keep is your earnest money — nothing more.

B. Investor Disclosure:

"Buyer is an investor looking to buy a property for investment purposes. The Buyer will find the best fit for the property including but not limited to fixing, remodeling, adding onto, rebuilding, reselling, wholesaling, to an investment partner, leasing or converting to a vacation rental."

★ **PRO TIP:** Tell the seller: "We have done and do all of those things to properties — this is language we have in every contract as a formality to make sure we check every box of what we may do with the property."

4 RIGHT TO CANCEL

"Buyer reserves the right to cancel for any and all reasons during the inspection period."

This gives you a clean exit if you can't find a buyer, the numbers don't work, or anything else comes up. Combined with the default clause above, your maximum risk is limited to earnest money.

5 TITLE / ESCROW / CLOSING COSTS

"Buyer to pay all title/escrow fees and closing costs."

This depends on what is negotiated with the seller. Offering to cover closing costs can make your offer more attractive and help you lock up the deal — especially with motivated sellers who want a clean, simple transaction.